

course the business would have to be simple and understandable. Of course the business would have to have demonstrated a great deal of business consistency over the years. And of course, the long-term prospects would have to be favorable. “If I came up with anything in terms of certainty, where I knew the market was going to grow, where I knew the leader was going to be the leader—I mean worldwide—and where I knew there would be big unit growth, I just don’t know anything like Coke,” Buffett explained. “I’d be relatively sure that when I came back they would be doing a hell of a lot more business than they do now.”²⁵

But why purchase at that particular time? Coca-Cola’s business attributes, as described by Buffett, had existed for several decades. What caught his eye, he said, were the changes occurring at Coca-Cola during the 1980s under the leadership of Roberto Goizueta, chairman and CEO, and president Donald Keough.

Change was critical, and overdue. The 1970s were dismal years for Coca-Cola. The decade was marred by disputes with bottlers, accusations of mistreatment of migrant workers at the company’s Minute Maid groves, environmentalists’ claim that Coke’s one-way containers contributed to the country’s growing pollution problems, and the Federal Trade Commission’s charges that the company’s exclusive franchise system violated the Sherman Antitrust Act. Coca-Cola’s international business was reeling as well. The Arab boycott of Coke, begun when the company issued an Israeli franchise, dismantled years of investment. Japan, where the company’s earnings were growing the fastest, was a battlefield of corporate mistakes. Coke’s 26-ounce take-home bottles were exploding—literally—on store shelves. In addition, Japanese consumers angrily objected to the company’s use of artificial coal-tar coloring in Fanta Grape. When the company developed a new version using real grape skins, the contents fermented and the grape soda was tossed into Tokyo Bay.

Coca-Cola in the 1970s was a fragmented and reactive company rather than an innovator setting the pace within the beverage industry. Despite its problems, the company continued to generate millions of dollars in earnings. But instead of reinvesting in Coca-Cola’s own beverage market, Paul Austin, appointed chairman in 1971 after serving as president since 1962, decided to diversify. He invested in water projects and shrimp farms,